

over our minds. The lifespan of man has become longer; it will become still longer. The number of work hours in the year has decreased; it will decrease yet further. The standard of living has risen; it will rise even more. Whatever the precise reasons given to justify each such assumption, they are brought in only to justify this immediate and spontaneous conviction—things will be *that* way, for they have already gone *that* way. The sharper our awareness of a past movement, the stronger our conviction of its future continuation.

De Jouvenel might have added that we also give greater credence to events of the past when they seem to confirm our desires for the future. Thucydides understood that syndrome: "The usual thing among men is that when they want something, they will, without any reflection, leave that to hope, while they will employ the full force of reason in rejecting what they find unpalatable."

---

Every market timer has a set of signals he follows because they worked the last time. The trouble comes when they don't work the next time.

---

The extrapolation method of forecasting is natural, plausible—and wrong. We feel instinctively that what happened the last time the Fed or the dollar or Congress did this or that will reap the same results if the same stimuli repeat, but they just as often don't, because there are so many other factors impinging on what transpires. As the economist and money manager Henry Kaufman has said, extrapolation may give you the ability to see what's coming down the street but not what's coming around the corner.

Extrapolation is very common among stock analysts. If you studied analysts' forecasts of future earnings, you would find them hard to differentiate from an extrapolation model. Over the short term,